

exceeds their ability to afford it. They become “house poor,” where every extra dollar, and all their extra time, go into servicing their one big asset. They eat Lean Cuisine in front of the TV because they can’t afford to go out or even buy real food at the grocery store. Their kids’ education funds get cashed in early because they need to fix the roof. These are all-too-common scenarios, and they represent a recipe for a miserable life. You didn’t buy a house to be one leaky roof, one fallen tree, or one boiler mishap away from disaster.

Maybe you aren’t like that Minneapolis real estate mogul who went to war on his mortgage and made a fortune. Maybe you just want your home to be a stable place to raise your family, while it accumulates value and equity over time. But regardless, your mortgage is debt. I get that the need to own a home is primal, the nesting urge we may have inherited from our ancestors. But our ancestors enjoyed much cheaper housing. If you’re not the type to spend every waking hour paying down that mortgage, if priority one from the minute you sign those bank papers isn’t to get to a place where you never have to deal with banks again, then you’re not cut out to be a homeowner.

Where affordability is a cold hard number, mobility erodes equity, because every time you buy and sell a house, you’re losing at least 12 percent of its value to closing costs, real estate fees, and land transfer taxes. Then there’s the cost of moving and furnishing the new place. So your home has to appreciate that much at least during the time you own it to make the purchase and sale worth it. That doesn’t happen in a year or two. That takes a while. Not everybody lives in a hot real estate market. Bottom line is that for many people, a home is a *good long-term bet, not a short-term investment*. So don’t buy a home too early, or one that’s too big, and never sell it too soon.

Here’s a typical scenario. Angela buys that one-bedroom box in the sky because she wants that “pride of ownership” feeling. A year later, she meets Scott, who’s “the one.” They decide to buy their own place. Angela sells her condo for more than what she bought it for, but remember, she also subtracts 12 percent for purchasing and selling costs. So she ends up with \$50,000 in equity. Scott and Angela find a three-bedroom townhouse. She and Scott split the \$50,000 down payment. They buy the house, move in, and spend another \$25,000